



The level of taxation

It is difficult for governments to establish how much tax to levy. Too low and the government cannot provide the services people want. Too high and people will be unwilling to pay the tax.

How it works

Governments can impose taxes on a person's earnings, their buildings and homes, savings and investments, pensions, inherited property, or on what they spend. Most governments rely heavily on income taxes, usually with different proportionate levels for different levels of earnings. This makes the tax system fairer; however, introducing more complexity also increases the chances of tax avoidance. Some taxes are also levied in order to change behaviour. By taxing something viewed as negative or unhealthy, such as tobacco or alcohol, the government can help to persuade people to consume less of those things.

Pigouvian taxes in action

Standard economic theory says that if consuming goods or services causes harm, a tax should be applied to them until the value of the tax matches the cost of the harm done – for example, a tax on sugar should match the cost to public health services of obesity. This is a “Pigouvian tax”, named after Arthur Pigou, the economist who proposed the idea.



NEED TO KNOW

- **Effective tax rate** Many tax systems allow different “reliefs” – such as investment relief to encourage investment. More than one tax may also be levied at once, for example income and corporation tax. As a result, the effective (average) tax rate may differ from the headline (basic) rate.
- **Marginal tax rate** Describes the additional tax paid for undertaking a small amount of extra activity – for example the extra tax paid in earning £1 more. Decisions made “at the margin” influence the behaviour of individuals and businesses, such as whether it is worth working longer hours.
- **Grey economy** People who work for cash wages or fees and do not declare their income, in order to avoid paying tax.

